

Divestitures*

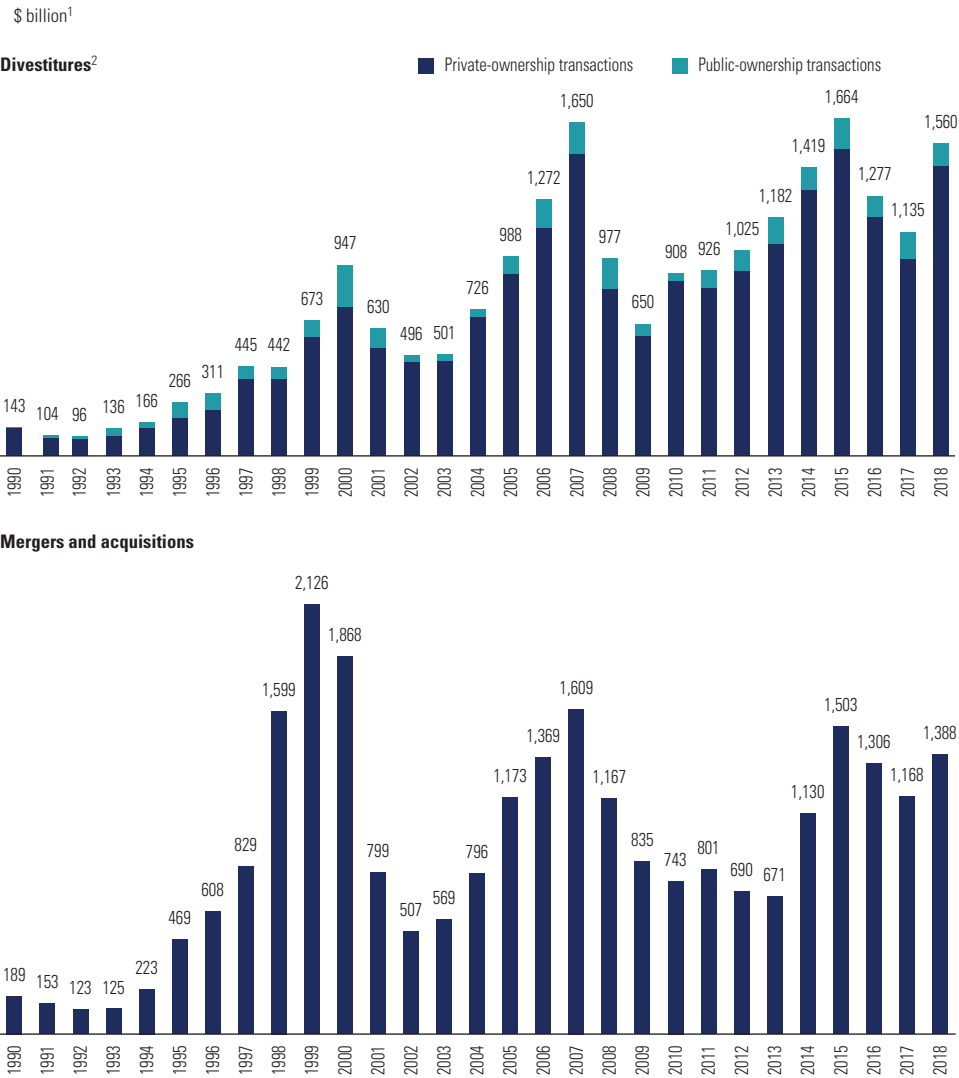
Divestitures, like mergers and acquisitions, tend to occur in waves, as Exhibit 32.1 shows. In the decade following the conglomerate excesses of the 1960s and 1970s, many companies refocused their portfolios. These divestitures were generally sales to other companies or private buyout firms. By the 1990s, divestiture activity included more public-ownership transactions—spin-offs, carve-outs, and tracking stocks. Such public-ownership transactions have since become an established divestment approach, although most divestitures still take the form of deals between companies.

As Chapter 28's discussion of corporate portfolio management indicates, any program to create value should include systematically reviewing your portfolio of businesses. In our analyses of the largest global exchange-listed companies, those that endure at the top ranks combine their mergers and acquisitions (M&A) programs with selected divestitures, including shedding businesses performing well that could do better under different ownership. Evidence shows that divestitures lead to higher shareholder returns in the short term around their announcement, as well as in the years following the divestiture, especially for companies employing such a balanced portfolio approach.

Still, many executives shy away from actively pursuing divestitures as part of a value creation program. Moreover, many divestitures still occur not as an expression of a strategic plan but in reaction to pressure from outside the corporation. For example, in 2017, AkzoNobel announced the divestiture of its specialty chemicals business when faced with an activist-investor campaign and a takeover attempt by competitor PPG.

*Special thanks to André Annema for coauthoring this chapter.

EXHIBIT 32.1 Divestitures Volume vs. M&A Volume



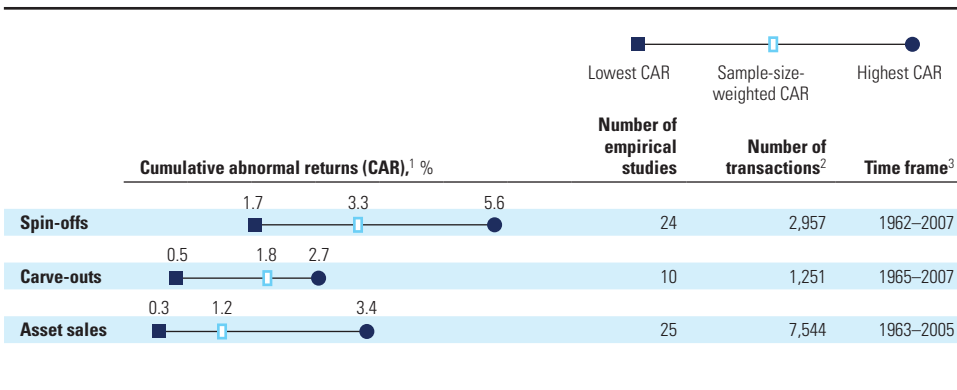
¹ Transactions with deal value above \$50 million. Deals involving U.S. or European target and/or acquirer.

² Divestitures include sales of equity stakes >50%, business unit sales, asset sales, and public-ownership transactions (spin-offs, carve-outs, split-offs).

Source: Securities Data Company; Dealogic; Corporate Performance Analysis by McKinsey.

This chapter first presents the evidence that divestitures create value and the factors that go into creating that value. Then it discusses why, despite this evidence, executives often shy away from proactively pursuing divestitures. The next section shows how to assess a divestiture's value creation potential. The final section provides some guidance on how to choose the specific type of transaction for a divestiture.

EXHIBIT 32.2 Market-Adjusted Announcement Returns of Divestitures



¹ CAR measured from 1 day before to 1 day after announcement and shown as highest, lowest, and sample-size-weighted value across the individual empirical studies.

² Sum of the sample sizes of all individual empirical studies.

³ Years for which at least 1 of the empirical studies included a transaction.

Source: B. Eckbo and K. Thornburn, "Corporate Restructuring," *Foundations and Trends in Finance* 7 (2012): 159–288.

VALUE CREATION FROM DIVESTITURES

Academic research provides abundant evidence of divestitures' potential to create value.¹ A 2012 survey of the empirical results of more than 10,000 private and public transactions found significant positive excess returns associated with the announcement of different types of divestitures.² Exhibit 32.2 summarizes the results. Actual excess returns are probably higher because many companies disclose their intentions to divest well before the transaction is announced.³

¹ See, for example, J. Mulherin and A. Boone, "Comparing Acquisitions and Divestitures," *Journal of Corporate Finance* 6 (2000): 117–139; J. Miles and J. Rosenfeld, "The Effect of Voluntary Spin-Off Announcements on Shareholder Wealth," *Journal of Finance* 38 (1983): 1597–1606; K. Schipper and A. Smith, "A Comparison of Equity Carve-Outs and Seasoned Equity Offerings: Share Price Effects and Corporate Restructuring," *Journal of Financial Economics* 15 (1986): 153–186; K. Schipper and A. Smith, "Effects of Recontracting on Shareholder Wealth: The Case of Voluntary Spin-Offs," *Journal of Financial Economics* 12 (1983): 437–468; J. Allen and J. McConnell, "Equity Carve-Outs and Managerial Discretion," *Journal of Finance* 53 (1998): 163–186; and R. Michaely and W. Shaw, "The Choice of Going Public: Spin-Offs vs. Carve-Outs," *Financial Management* 24 (1995): 5–21.

² B. Eckbo and K. Thornburn, "Corporate Restructuring," *Foundations and Trends in Finance* 7 (2012): 159–288.

³ See P. Ghazizadeh, A. de Jong, and F. Schlingemann, "Voluntary Disclosures of Asset Sales," working paper, 2018. Around 40 percent of the companies analyzed disclosed their intention to divest some six months before the announcement of the divestment transaction itself. When the excess returns associated with that disclosure were considered, they added around 2.4 percent to the overall results estimated for divestiture announcements.

The excess returns on announcement reflect the market's expectation that performance will improve at both the parent company and the business to be divested. Such expectations are justified. For example, operating margins of parent and spun-off businesses significantly improve during the five years after completing the transaction, and the growth rate of spun-off businesses nearly doubles.⁴ Academic research confirms the improvements in operating performance, with larger improvements for the subsidiary than for the parent company.⁵ As in acquisitions, experience pays off: companies that divest more often also generate more value from a divestiture.⁶

That said, value creation from divestitures is far from guaranteed. A McKinsey study of large U.S. spin-offs found that the best divestors indeed outperform the market as a whole, but that those at the bottom fall even further behind.⁷ It underlines that large divestitures carry significant risks for a company and require thoughtful preparation and execution. Not surprisingly, speed matters. For large U.S. divestitures completed within 12 months, excess returns were around 6 percent, compared with -11 percent returns for those completed in 13 to 24 months.⁸ Lengthy divestiture trajectories are often an indication of poor preparation and execution. Lack of speed also increases the risk of business erosion (for example, the loss of key employees, managers, and customers in the business to be divested). Success is not only determined by divestiture preparation and execution, but also by a company's portfolio strategy. A McKinsey study of 200 large U.S. companies over a ten-year period showed that companies with a passive portfolio approach—those that did not sell businesses or only sold poor businesses under pressure—underperformed companies with an active portfolio approach over those years.⁹ The best performers systematically divested companies as well as acquired them.

An example of a company with a systematic approach is Germany-based Siemens, which for many years has pursued a theme of profitable growth, including a complete portfolio restructuring via targeted acquisitions and a series of major divestitures. Siemens put its telecommunication carrier business into a 50–50 joint venture with Nokia in 2006 and sold its joint venture stake to Nokia in 2013. In 2007, it sold its Siemens VDO business (supplying parts and

⁴ See B. Huyett and T. Koller, "Finding the Courage to Shrink," *McKinsey on Finance*, no. 41 (Autumn 2011): 2–6.

⁵ P. Cusatis, J. Miles, and J. Woolridge, "Some New Evidence That Spinoffs Create Value," *Journal of Applied Corporate Finance* 7 (1994): 100–107.

⁶ M. Humphery-Jenner, R. Powell, and E. Jincheng Zhang, "Practice Makes Progress: Evidence from Divestitures," *Journal of Banking and Finance* 105 (2019): 1–19.

⁷ The range between highest- and lowest-quartile shareholder returns over one, two, and three years after spin-off was significantly higher for divestors than for the market as a whole in a sample of 132 large U.S. spin-offs between 1992 and 2013. See S. O'Connell and J. Thomsen, "Divestitures: How to Invest for Success," *McKinsey on Finance* (Summer 2015): 2–6.

⁸ O. Ezekoye and J. Thomsen, "Going, Going, Gone," *McKinsey on Finance* (August 2018): 2–6.

⁹ J. Brandimarte, W. Fallon, and R. McNish, "Trading the Corporate Portfolio," *McKinsey on Finance* (Fall 2001): 1–5.

components, as well as software, to carmakers) to Continental. In 2013, it spun off its OSRAM lighting division. Siemens merged its wind-power business with Spain's Gamesa in 2017, creating a new industry leader. The health-care business was carved out in 2018 as Siemens Healthineers in a minority initial public offering (IPO), one of the largest public offerings in German history. In May 2019, Siemens announced plans to spin off its gas and power division by 2020 as an independent company with about €30 billion in revenues. After 2020, Siemens's core businesses will be Digital Industries (industrial software and automation) and Smart Infrastructure (systems for safety and security, grid control, and energy storage). The series of transactions radically oriented the group's portfolio toward the business areas that the company considers more attractive in the long term.¹⁰ Siemens demonstrated that it earmarks for divestment not only underperforming businesses (such as gas and power) but also other businesses (such as health care) that no longer fit well with its corporate strategy.

The process of systematic divestment is natural and ongoing, as the Siemens example highlights. A divested unit may pursue further separations later in its lifetime, especially in dynamic industries undergoing rapid growth and technological change. For example, in 2007, Tyco International split itself into three independent listed businesses: Tyco Healthcare (Covidien), Tyco Electronics (TE Connectivity), and Tyco International. In 2012, Tyco International split itself again into three independent businesses: Tyco (commercial security and fire protection), Pentair (flow-control products), and ADT (residential security). The process did not stop there. TE Connectivity sold its BroadBand Network Solutions business to Commscope in 2015. Covidien, which primarily focused on medical devices, spun off Mallinckrodt, its pharmaceutical division, in 2013. ADT merged with home-security company Protection 1 in 2016.

Divesting a business unit creates value when other owners can extract more value from it than the current owners can. This is the "best owner" principle described in Chapter 28. Value creation occurs because a new owner can realize superior synergies, but also because the divestiture eliminates some unique costs of the business unit itself and/or its current owner. An active portfolio management approach creates value by avoiding, eliminating, or at least minimizing these costs.

The Costs of Holding On

For underperforming businesses, the clear benefit from divesting lies in avoiding the direct costs of bearing deteriorating results. Companies that hold on to underperforming businesses too long risk bringing down the value of the

¹⁰ The portfolio change included many other divestments (and acquisitions), such as the sale of, for example, the audiology business and the household appliance business.

entire corporation. By the time the company is forced to conduct a fire sale of the assets, it has already destroyed substantial value and generally will receive limited proceeds from the divestiture. Managers should be in a better position than outsiders to determine a business's performance prospects. Research has shown that as a business becomes more mature and competitive challenges increase, it loses the potential for ongoing value creation, and its total shareholder returns start to decline, relative to the business's industry sector.¹¹ An opportune moment to divest the business is therefore shortly before market valuations begin to reflect its lower performance expectations.

For profitable and/or growing businesses, divesting can benefit both the parent and the business unit. Well-established, mature businesses provide a company with stability and cash flows, but holding on too long to this can also lead to what we would call *corporate inertia*. For example, relatively large and stable units may dampen the impetus to innovate—a critical driver of success for smaller businesses in the portfolio. In addition, such large units often absorb a significant share of scarce management time that might be better spent on identifying growth opportunities. For example, under Bristol-Myers Squibb's ownership, the orthopedic-devices business Zimmer relied on pricing to grow its revenues. After its spin-off in 2001, it was able to boost growth by investing more aggressively in new technologies, introducing new products, and expanding to new markets.

Other costs include the distortion of economic incentives as a result of *cross-subsidization* between business units. This can lead to inferior decision making, as well as conflicts of interest between business units. For example, during the early 1990s, Lucent—at that time a business unit of AT&T and a successful maker of telecom equipment—was selling its products to many of AT&T's competitors. To avoid conflict and to ease possible customer concerns, AT&T arranged to spin off Lucent in 1996. Conflicts of interest between business units can also arise from capital structure decisions, which was a key reason for Tyco International's 2006 health-care divestiture announcement. As Tyco CFO Chris Coughlin explains, "We were driving the capital structure of all of Tyco on the basis of what a company in the healthcare industry needed, but healthcare was only a quarter of our revenues. The other businesses clearly did not require that kind of a capital structure."¹² In these situations, a divestiture may create value because the subsidiary can become more competitive as a result of greater freedom to tailor financing and investment decisions, improved management incentives, or better focus.

A lack of *parent company capabilities* can hamper a business unit's performance. All businesses evolve through a life cycle, from start-up through

¹¹ R. Foster and S. Kaplan, *Creative Destruction* (New York: Doubleday, 2001).

¹² L. Corb and T. Koller, "When to Break Up a Conglomerate: An Interview with Tyco International's CFO," *McKinsey on Finance* (Autumn 2007): 12–18.

expansion to maturity. Different skills and capabilities are needed to manage the business well at different moments in its life cycle: from a focus on innovation in the start-up phase, when a viable business idea and platform are created, to cost management skills at maturity, when efficiency is the key driver of success. Many corporations lack the full breadth and depth of skills. Typically, they excel in only a few capabilities, which also tend to be fairly static over time. Businesses ripe for divestiture could be at any stage in their life cycle and might well include a profitable, cash-generating business or a business with relatively high growth potential.

A common misperception about divestments is that they are an easy solution for undervaluation in the stock market. Some managers interpret the positive excess returns to divestment announcements as a confirmation that the divestment exposes value the market had overlooked. That interpretation is wrong. It is often based on a misleading “sum of the parts” analysis, showing that the current market value of the company is smaller than the sum of the values of its individual business. Unfortunately, the analyses often rely on valuation multiples of industry peers with higher performance or from different sectors than the company’s businesses. When the analysis uses true peers, the conglomerate discount typically disappears (see Chapter 19).

WHY EXECUTIVES SHY AWAY FROM DIVESTITURES

Although an active portfolio approach recognizes the value to be created from divestitures, most executives seem to shy away from initiating them. Looking at the 690 companies that remained in the global top 1,000 during the period from 2000 until 2013, almost 60 percent did not execute in any single year divestitures that exceeded 5 percent of their market value. About 20 percent of the companies had only one year out of the 14 in which divestments amounted to at least 5 percent of their value. The previously mentioned McKinsey study of 200 U.S. companies found that at least 75 percent of the transactions were made in reaction to some form of pressure, such as underperformance of the corporate parent, the business unit, or both.

When underperformance eventually becomes transparent to the market, investors exert continuous pressure on the corporation to divest. Academic research finds that companies that decided to sell assets tended to be poor performers and highly leveraged, suggesting that most voluntary asset sales are reactive rather than part of a proactive divestiture program.¹³ Several publications have confirmed that parent companies tend to hold on to

¹³ L. Lang, A. Poulsen, and R. Stulz, “Asset Sales, Firm Performance, and the Agency Costs of Managerial Discretion,” *Journal of Financial Economics* 37 (1994): 3–37.

EXHIBIT 32.3 Earnings Dilution through Divestitures

\$ million

	Company	Divested business unit	Use of proceeds		
			Hold cash	Debt repayment	Share buyback
Value of operations	2,800	450	2,350	2,350	2,350
Cash	—	—	550	—	—
Enterprise value	2,800	—	2,900	2,350	2,350
Debt	(600)	—	(600)	(50)	(600)
Market value of equity	2,200	—	2,300	2,300	1,750
Shares outstanding	100.0	—	100.0	100.0	76.1
Share price	22.0	—	23.0	23.0	23.0
Invested capital	1,800	150	1,650	1,650	1,650
EBIT	236.0	50.0	186.0	186.0	186.0
Interest income (2%)	—	—	11.0	—	—
Interest expense (6%)	(36.0)	—	(36.0)	(3.0)	(36.0)
Pretax income	200.0	50.0	161.0	183.0	150.0
Taxes (25%)	(50.0)	(12.5)	(40.3)	(45.8)	(37.5)
Net income	150.0	37.5	120.8	137.3	112.5
Earnings per share, \$	1.50	—	1.21	1.37	1.48
P/E	14.7	14.7	19.0	16.8	15.6
Earnings yield, %	6.8	6.8	5.3	6.0	6.4
Pretax ROIC, %	13	33.3	11.3	11.3	11.3
Operating value/EBIT	11.9	9.0	15.6	12.6	12.6

underperforming businesses too long, waiting until they have to respond to economic, technological, or regulatory shocks.¹⁴

In our experience, many managers dislike divestitures because these transactions could reduce the company's earnings per share, price-to-earnings ratio (P/E), or other performance indicators. However, if the business is worth more to an outsider or as an independent company, the divestiture will create value and should be pursued. The example in Exhibit 32.3 illustrates this.

The company described in the left side of the exhibit can raise \$550 million in cash from a divestment of a mature business unit. This unit has a relatively high return on invested capital (ROIC) but limited growth potential. The value of the business to the company is estimated at \$450 million, so that selling it at \$550 million clearly creates value for the company. Any resulting changes in

¹⁴ See, for example, Mulherin and Boone, "Comparing Acquisitions and Divestitures"; D. Ravenscraft and F. Scherer, *Mergers, Sell-Offs, and Economic Efficiency* (Washington, DC: Brookings Institution, 1987), 167; and M. Cho and M. Cohen, "The Economic Causes and Consequences of Corporate Divestiture," *Managerial and Decision Economics* 18 (1997): 367–374.

earnings multiples (whether P/E or enterprise value to EBIT) or earnings per share for the company after the transaction are irrelevant. Because divested units are typically the more mature businesses in a company's portfolio (with lower earnings multiples), divestitures often lead to increases in earnings multiples and decreases in earnings per share. But this does not indicate anything about value creation. For example, this particular divestment would increase the company's earnings multiple even when carried out at a price below \$450 million (which would clearly destroy value).

In addition, changes in earnings per share and the earnings multiple depend on how the company decides to use the cash proceeds from the divestment:

- *Holding cash.* If the parent holds on to the proceeds, it will dilute its earnings per share. The reason is straightforward: the interest rate earned on the cash (1.5 percent, calculated as 2 percent less taxes at 25 percent) is lower than the so-called earnings yield (earnings relative to the value of sales proceeds, 6.8 percent after taxes) of the divested business unit. This is just simple mathematics. However, the equity value increases because the divestiture creates value, and the company's P/E is higher than before.
- *Repaying debt.* If the parent uses the proceeds to repay debt, earnings per share will still be diluted; the interest rate on the debt, at 4.5 percent after taxes (calculated as 6 percent less taxes at 25 percent), is also lower than the earnings yield of the divested business. Dilution is less than in the scenario where the parent holds the cash, because the interest rate on debt is higher than on cash. Again, the company's P/E goes up as earnings per share go down, but less so than in the prior scenario.
- *Buying back shares.* If the parent uses the proceeds to buy back shares, earnings per share will be diluted because the earnings yield of the remaining business (the inverse of the P/E, 6.4 percent) is lower than the earnings yield of the divested business unit (6.8 percent), but the dilution is less than in the other scenarios. The P/E increases but ends up below the P/E in the other two scenarios. In the example shown, the sale proceeds and the amount used for buybacks would have to increase to above \$583 million in order for the divestment to become earnings accretive.

Even though the divestment causes the size of the company to be smaller (in terms of revenues and market capitalization) and its earnings per share to be lower, shareholders still benefit from this divestment. What matters is that the company generates more value from selling this business than from running it. Shareholders care about value, not size.

ASSESSING POTENTIAL VALUE FROM DIVESTITURES

A value-creating approach to divestitures can result in divesting good and bad businesses at any stage of their life cycle. Clearly, divesting a good business is often not an intuitive choice and may be hard for managers. It therefore makes sense to enforce some discipline in active portfolio management—for example, by holding regular, dedicated business exit review meetings, to ensure that the topic remains on the executive agenda, and by assigning units a “date stamp,” or estimated time of exit. This practice has the advantage of obliging executives to evaluate all businesses as their sell-by date approaches, although executives may decide to retain businesses after that date. Other approaches to promote discipline include setting a limit on the number of businesses in the corporate portfolio or aiming for a target balance in acquisitions and divestitures. Such practices help transform divestitures from evidence of failure into shrewd strategies for building value.

The value created in a divestment for a parent company equals the price received minus the value forgone minus separation costs incurred by the parent:

$$\begin{aligned}\text{Value Created} &= \text{Price Received} - \text{Value Forgone} \\ &\quad - \text{Costs of Separation}\end{aligned}$$

The value forgone equals the stand-alone value of the divested business as run by the current management team, plus any synergies with the rest of the parent’s businesses. It represents the cash flows that the parent company has given up by selling the business. The costs of separation include the costs that the parent incurs to disentangle the business from its other businesses, plus the so-called stranded costs of any assets or activities that have become redundant after the divestment—costs that, as we will see, can often be substantially mitigated by restructuring central and shared services in the parent company. With this further breakdown, we have the following expression for value created:

$$\begin{aligned}\text{Value Created} &= \text{Price Received} \\ &\quad - \text{Stand-Alone Value of Divested Business} \\ &\quad - \text{Lost Synergies} \\ &\quad - \text{Disentanglement Costs} \\ &\quad - \text{Stranded Costs}\end{aligned}$$

This section discusses these synergies and costs. Also, it examines practical challenges around legal and regulatory issues, as well as pricing and liquidity of the businesses.

Lost Synergies

When a company divests a business unit, it may lose with it certain synergy benefits of having that business in its portfolio, even if the company isn't the best owner of the business. For example, a business unit may give cross-selling opportunities to other units. Likewise, a corporation may bundle its procurement for various businesses globally so that it enjoys significant discounts. Thus, divestment can result in lower discounts and higher costs for the remaining businesses, as well as for the divested business unit itself, when volumes decrease.

Divestments could also lead to the loss of nonoperating synergies related to taxes and financing, although these tend to be relatively small. For example, an integrated electricity player that divests its (regulated) transmission and/or distribution network business and keeps a portfolio of generation and supply units will have a higher risk profile after the divestiture and, consequently, a lower debt capacity and corresponding value from tax shields.

Disentanglement Costs

Depending on the extent to which a business unit is integrated within an organization and its operations, disentangling it can incur substantial expenses. Examples of such expenses include legal and advisory fees, information technology (IT) system replacement or reconfiguration costs, relocation costs, and retention bonuses. Disentanglements can be more complex than the integration processes of large M&A deals.

Taxes triggered by the divestment depend on the details of a proposed deal structure, but they too can have real impact on post-deal economics. Differences in fiscal regimes also play a role. In many European countries, profit (including capital gains) distributions from subsidiaries to parents are to some extent exempt from corporate income and withholding taxes. In the United States, corporations do not enjoy this so-called participation exemption for capital gains on divested subsidiaries. Depending on the fiscal regime, executives may therefore prefer different types of transactions (see discussion later in the chapter).

Stranded Costs

Stranded costs can be real but are easily overestimated. These are (corporate) costs for assets and activities associated with the business unit but ultimately not transferred with it. Stranded costs can relate to shared services, such as procurement, marketing, and investor relations. They can also refer to IT infrastructure and shared production assets—for example, when a single manufacturing facility consists of production lines of products from different business units. And they can relate to general overhead costs that are allocated

to businesses, such as costs for the board of directors, legal counsel, and corporate compliance.

In our experience, divestments often bring to light excessive corporate overhead that cannot be transferred to the divested business unit and is subsumed under stranded costs. Large companies tend to have many layers of management and communication. This easily leads to redundancy and unnecessary costs. For example, sizable business units often have managers in human resources, strategic planning, or financial controlling functions whose primary job is to coordinate and communicate with their counterparts in the corporate headquarters. After a divestiture, such intercompany transaction costs can be largely eliminated in both the parent company and the divested businesses. In fact, successful sellers often use divestitures as a catalyst to reduce overhead and improve efficiency in the remaining business.

Real stranded costs from divestitures take considerable time and effort to unwind. Some stranded costs are fixed and difficult to reduce, as in the case of shared IT systems. Others can be more readily managed over time—for example, by head-count reductions in shared service centers. McKinsey research has found that it often takes up to three years for the parent company to recover from stranded costs, leaving it with substantially lower profit margins during this period.¹⁵ A seller could therefore consider including transitional service agreements for the divested business. This could help cover the costs for central and shared support services, at least in the near term. But sellers should be careful that the transitional agreements do not diminish the pressure on the organization to reduce the stranded costs in the longer term. How to handle stranded costs will vary with the type of buyer. A strategic buyer may be able to absorb the divested business unit without all the corporate support services or even production facilities; a financial buyer may be more interested in acquiring the business with these services and facilities included.

Legal and Regulatory Barriers

The divestment process may be complicated by legal or regulatory issues. These are typically not large enough to distort the value creation potential, but they can seriously slow down the process and add to the amount of work to be done, thereby increasing the time and resources required to come to closure. For example, pharmaceutical companies are required to have a so-called marketing authorization to sell an individual product in a specific market, typically a single country. If a pharmaceutical company decides to sell a particular product portfolio (e.g., oncology, respiratory, vaccines) to another

¹⁵ D. Fubini, M. Park, and K. Thomas, “Profitably Parting Ways: Getting More Value from Divestitures,” *McKinsey on Finance* (Winter 2013): 14–21.

pharmaceutical company, it needs to apply for a transfer of the marketing authorization for each individual product in each specific market. This is a time-consuming process that requires additional expenses. Asset transactions can be especially complex, because they require extensive documentation and contracts with respect to all the different categories of assets involved.

Contractual issues often come as unpleasant surprises that typically surface after companies have started the divestiture process. Procurement contracts, long-term contracts with customers, and loan agreements, for example, often require the creation of transitional service agreements between buyer and seller to guarantee continuity of the business unit. Or they may include change-of-ownership clauses activated upon divestiture that render the existing contract or agreement invalid when ownership in the business transfers.

Pricing and Liquidity

As discussed in Chapter 7, market valuation levels are generally in line with intrinsic value potential in the long term but can deviate in the short term. A near-term divestiture would seem to be a good idea if the market would price a business above management's estimate of its intrinsic value. The reverse holds as well: Siemens, for example, abandoned the initial public offering (IPO) of its lighting business OSRAM several times due to adverse market conditions.

Although external market factors may lower potential proceeds from a divestiture, management should balance this against the (hidden) costs of continuing with the status quo. Alternatively, management could look into transaction types that do not generate cash proceeds and thereby do not lock in an exit price for the company's shareholders. For example, as the credit crunch unfolded in 2008, Cadbury decided against a planned trade sale (in cash) of its American beverages business. Instead, it opted for a noncash demerger of the corporate group into two listed entities. This left Cadbury shareholders with the option to hold the shares of the American business and sell at some later stage, when prices might be higher.

Even when market valuation levels seem to be free of distortions and a seller could reasonably expect a value-creating offer, a lack of competing buyers may make the seller reluctant to pursue the transaction. An academic study concluded that companies are less likely to pursue divestitures of particular assets when the markets for these assets are less liquid in terms of the volume of transactions.¹⁶ The more liquid a market for particular assets, the better the price setting is expected to be.

¹⁶ F. Schlingemann, R. Stulz, and R. Walkling, "Divestitures and the Liquidity of the Market for Corporate Assets," *Journal of Financial Economics* 64 (2002): 117–144.

DECIDING ON TRANSACTION TYPE

Once a corporation has identified businesses for divestiture, it must decide what transaction structure to use. Its choices will depend on the availability of strategic or financial buyers, the need to raise cash, the benefits of retaining some level of control during the first phase of the separation, and fiscal implications for the company and/or its shareholders.

The remainder of this chapter provides a brief overview of different transaction types and discusses the trade-offs among alternative forms of public-ownership transactions, their impact on long-term performance, and the dynamics of ownership structures over time. Executives can choose from many types of structures for private and public transactions:

Private transactions

- *Trade sale*: sale of part or all of a business to a strategic or financial investor
- *Joint venture*: a combination of part or all of a business with other industry players, other companies in the value chain, or venture capitalists

Public transactions

- *Initial public offering (IPO)*: sale of all shares of a subsidiary to new shareholders in the stock market
- *Carve-out (IPO of a minority stake)*: sale of part of the shares in a subsidiary to new shareholders in the stock market
- *Spin-off (or demerger)*: distribution of all shares in a subsidiary to existing shareholders of the parent company
- *Split-off*: an offer to existing shareholders of the parent company to exchange their shares in the parent company for shares in the subsidiary
- *Tracking stock*: a separate class of parent shares that is distributed to existing shareholders of the parent company through a spin-off or sold to new shareholders through a carve-out

Private Transactions

Private transactions typically create the most value if other parties are judged to be better owners of the business. Private transactions allow the company to sell the business unit at a premium and capture value immediately. In most situations, the counterparties will be strategic buyers (that is, other industry players), but potential financial buyers also should be considered.

However, an outright sale may result in taxable gains that will put this alternative at a disadvantage. In the United States, for example, a company

must pay income tax on gains from a business sale. Businesses with relatively high ROIC or low capital intensity may therefore be less attractive candidates for an outright sale unless the premium offered justifies the capital gains tax. In many European countries, the so-called participation exemption makes the sale of the parent's shares in a subsidiary exempt from taxes.

Public Transactions

If the company cannot identify another company as a better owner, it can consider public restructuring alternatives. All the public transactions in the preceding list involve the creation of a new public security, but not all of them actually result in cash proceeds. Full IPOs and carve-outs result in cash proceeds as securities are sold to new shareholders. In spin-off and split-off transactions, new securities are offered to existing shareholders, sometimes in exchange for other existing shares (split-offs).

In public transactions, shareholders do not earn a premium from the divestiture itself, but significant value may be created for shareholders in the future. For example, if industry consolidation is expected, a public transaction may be more beneficial for the shareholders in the long term if the newly floated business unit would drive the consolidation or would be a takeover candidate.

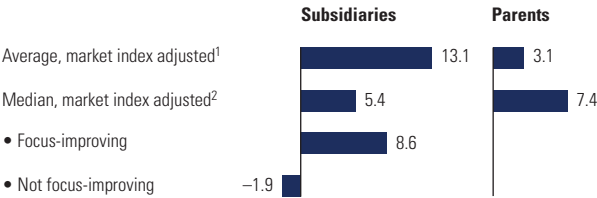
Spin-Offs The most common form of public-ownership transaction is a spin-off. In the case of a spin-off, the parent company gives up control over the business unit by distributing the subsidiary shares to the parent's shareholders. This full separation maximizes the strategic flexibility of the subsidiary, provides the greatest freedom to improve operations by sourcing from more competitive companies (instead of the former parent), and avoids conflicts of interest between the parent company and the business unit. Spin-offs are usually carried out to improve operating performance of the business units.

Depending on the jurisdiction, spin-offs can also offer tax benefits over alternatives such as trade sales and IPOs. In the United States, United Kingdom, and several countries of continental Europe, spin-offs can be structured as tax-free transactions. Such benefits can make a spin-off more value-creating for shareholders than a trade sale at a sizable premium in countries such as the United States, where gains from a trade sale are taxed. Consider a hypothetical example in which a business with a tax book value of \$200 million can be sold for \$1.2 billion or spun off at an expected market capitalization of \$1 billion. At a tax rate of 25 percent, the sale would leave the parent company with after-tax proceeds of \$950 million that it could return to its shareholders. In a spin-off, the parent company would distribute shares in the business with an expected value of \$1 billion to its shareholders.

Sometimes spin-offs are executed in two steps: a minority IPO (carve-out) followed by a full spin-off relatively shortly thereafter. Some advocates claim that a two-step spin-off has benefits: the initial minority listing establishes

EXHIBIT 32.4 Long-Term Market Performance of Spin-Offs

Cumulative TSR for 2-year post-transaction period, %



¹ Adjusted for either U.S. or European market index.

² Adjusted for median return of index constituents over similar measurement period.

Source: Datastream; Compustat.

dedicated equity coverage, creates market making in the shares, and may reduce the risk of price pressure from flow-back by developing an interested investor base.¹⁷ However, in most situations, these potential issues are rarely material and can be well managed in a one-step spin-off. For example, when Siemens spun off its OSRAM lighting business in 2013, some analysts and investors were concerned about flow-back because they considered OSRAM as one of Siemens’s least attractive businesses. But the flow-back was effectively handled in a so-called balancing book that was used to match supply and demand for the OSRAM shares. No price pressure occurred. A one-step spin-off has the benefit of being less complex and does not depend on market circumstances, as no shares need to be sold to investors.

The evidence shows that spin-offs typically lead to significant improvements in operating margins for both parents and spun-off businesses during the five years after the transaction’s completion. For the spun-off businesses studied, growth rates nearly doubled in this time span.¹⁸ Academic research confirms the improvements in operating performance, with larger improvements for the subsidiary than for the parent company.¹⁹ Some research concludes that operating improvements were significant only for focus-improving spin-offs—that is, transactions where the business spun off was different from the parent’s core line of business.²⁰

Post-transaction total shareholder returns (TSR) for spin-off parents and subsidiaries are consistent with the results on operating improvements (see Exhibit 32.4). Academic research also shows that focus-improving spin-offs drive the subsidiaries’ positive performance. Transactions that did not improve focus had mostly negative post-transaction returns.²¹

¹⁷ In a spin-off, all parent shareholders receive shares of the spun-off subsidiary. When parent shareholders subsequently sell these shares in the stock market, this gives rise to flow-back.

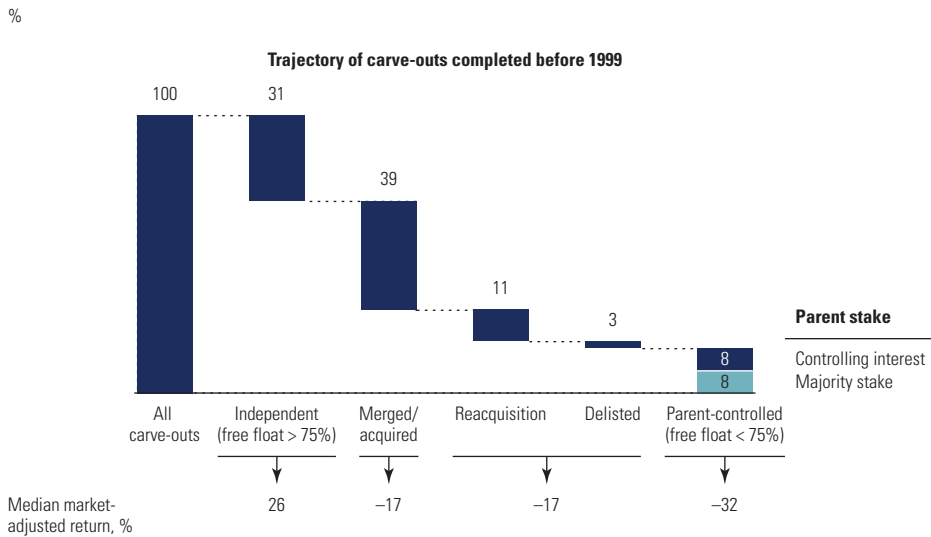
¹⁸ See Huyett and Koller, “Finding the Courage to Shrink.”

¹⁹ Cusatis, Miles, and Woolridge, “Some New Evidence.”

²⁰ L. Daley, V. Mehrotra, and R. Sivakumar, “Corporate Focus and Value Creation: Evidence from Spin-offs,” *Journal of Financial Economics* 45 (1997): 257–281.

²¹ Cusatis, Miles, and Woolridge, in “Some New Evidence,” find similar shareholder returns for parents and subsidiaries.

EXHIBIT 32.5 Typical Carve-Out Trajectories



Source: Datastream; Factiva.

Carve-Outs If parent companies do not want to give up control over a business unit immediately, they can consider carving out a minority ownership stake through an IPO. Another reason to consider a carve-out is that the parent needs cash for an acquisition or recapitalization. Carve-outs were popular in the late 1990s during the boom in the telecom, media, and technology (TMT) sector. Since then the allure of carve-outs has faded, with the need for cash propelling most decisions to pursue one. In the United States, the number of carve-outs has averaged about three to four per year since 2001, compared with about 15 to 20 per year during the TMT boom.

When thinking about partially separating ownership of a business unit through a carve-out, executives should plan for full separation and independence. The separated businesses should be able to attract new equity financing to fund their growth or perhaps pursuit of acquisitions, both of which will most likely dilute the parent's stake, ultimately leading to loss of control. Carve-outs produce real benefits only if they achieve real independence from the parent company. The arc toward independence should be clear from the start. For example, Philips publicly committed to gradually selling down its remaining stake in its lighting business (Signify) after the IPO of that business in 2016. In September 2019, Philips sold its last remaining shares in Signify.

In our research on more than 200 transactions completed in the carve-out boom of the 1990s, the majority of the carve-out entities did not last.²² As shown in Exhibit 32.5, only 8 percent of the carve-out subsidiaries analyzed

²² A. Annema, W. Fallon, and M. Goedhart, "Do Carve-Outs Make Sense?," *McKinsey on Finance* (Fall 2001): 6–10.

remained majority-controlled by the parent. Only the carve-outs that gained independence from the parent delivered positive returns to shareholders. Those that were reacquired or remained parent-controlled showed negative shareholder returns. Academic research has found similar results.²³ The market-adjusted long-term performance for carve-outs on average was negative, but different types of carve-outs differed significantly in their performance. Carve-outs from financially distressed parents showed negative returns and continue to have relatively low operating performance, indicating that they were partly contributing to the distress. Market performance appears to be better for carve-out transactions that improve the focus of both entities. Some publications also suggest a clear relationship between carve-out subsidiaries' success in the capital markets and the evolution of their ownership structure, similar to our results in Exhibit 32.5.²⁴

If the parent company retains a controlling stake, this can lead to governance conflicts in the longer term. For example, enforcing a minimum controlling stake may restrict (acquisition) growth and value creation by the separated business, which would destroy the benefits that the carve-out was intended to deliver.

Tracking Stock An alternative form of public ownership restructuring is the issuance of tracking stock. Tracking stock offers a parent the advantage of maintaining control over a separated subsidiary, but it often complicates corporate governance. Because there is no formal, legal separation between the subsidiary and the parent, a single board of directors needs to decide on potentially competing needs of common and tracking stock shareholders.

In addition to producing competing needs, tracking stocks also result in both entities being liable for each other's debt, which precludes flexible capital raising. Although there may be specific tax or legal barriers in the way of separation that would favor the use of a tracking stock alternative, the evidence for tracking stock is far from convincing. In an analysis of tracking stocks, this kind of transaction appeared to destroy value in the long term.²⁵ On the elimination of tracking stock, the announcement effect for the parent was positive, reflecting the market's relief that the structure had been discontinued.

²³ See, for example, J. Madura and T. Nixon, "The Long-Term Performance of Parent and Units Following Equity Carve-Outs," *Applied Financial Economics* 12 (2002): 171–181; and A. Vijh, "Long-Term Returns from Equity Carveouts," *Journal of Financial Economics* 51 (1999): 273–308.

²⁴ A. Klein, J. Rosenfeld, and W. Beranek, "The Two Stages of an Equity Carve-Out and the Price Response of Parent and Subsidiary Stock," *Managerial and Decision Economics* 12 (1991): 449–460; K. Gleason, J. Madura, and A. K. Pennathur, "Valuation and Performance of Reacquisitions Following Equity Carve-Outs," *Financial Review* 41 (2006): 229–246; and M. Otsubo, "Gains from Equity Carve-Outs and Subsequent Events," *Journal of Business Research* 62 (2008): 1207–1213.

²⁵ M. Billett and A. Vijh, "The Wealth Effects of Tracking Stock Restructurings," *Journal of Financial Research* 27 (2004): 559–583.

As we write this, no major U.S. or European company has tracking stock outstanding, underlining the point that this form of ownership restructuring fails to bring the benefits executives are looking for.

SUMMARY

As businesses develop through their life cycles, they pose new challenges to the parent company. Parent companies therefore should continually reevaluate which businesses to keep and which to divest. However, most corporations divest businesses only after resisting shareholder pressure. In delaying, they risk forgoing potentially significant value.

Senior executives should prepare the organization for this cultural shift to a more active approach. They should deliver the message that their new approach will entail divesting good businesses, and such divestitures should not be considered failures. Because managers may find it difficult to divest good businesses, corporations should build forcing mechanisms into their divestiture programs.

There is no guarantee that divestitures will create value. The best divestitures indeed outperform the market, but those at the bottom fall even further behind. To increase the chances of a successful divestiture, executives should thoroughly identify the implications for the economics of the remaining businesses and consider these implications when structuring the divestiture agreement. Executives should also take care not to underestimate the time and effort required to complete a divestiture.

REVIEW QUESTIONS

1. Explain under what conditions a divestiture will lead to earnings per share (EPS) dilution or accretion if the proceeds from the divestiture are used (a) to repay debt and (b) to repurchase shares. How do your answers relate to the value created by a divestiture?
2. Describe the key reasons why divesting a business can create value for shareholders, even when the business is still in the early stages of its life cycle.
3. Identify and give examples of the five factors that complicate a manager's decision to divest a business unit.
4. A company intends to sell one of its larger business units to a strategic buyer. The company's controller is concerned, because the sale would result in an overcapacity of 25 percent in the company's information technology center. He proposes that the company be compensated for these stranded costs by an increase in the sale price. Discuss what reaction you expect from the buyer.
5. An executive is reluctant to sell a high-performing business unit, arguing that the sale would dilute the company's return on invested capital to a level below the weighted average cost of capital and make the company value-destroying. Discuss.
6. Identify and describe two private-transaction approaches to corporate divestiture and two public-transaction approaches. When are private transactions likely to create more value than public transactions?
7. An oil company wants to divest its low-growth chemicals division, which has an estimated stand-alone value of around \$5 billion and represents around 40 percent of the entire oil company's value. What do you think could be the most promising transaction approaches and why?
8. An electronics conglomerate intends to divest its high-growth energy division, which develops and manufactures solar panels, windmills, and other "green energy" products. The division has an estimated value of \$250 million, around 5 percent of the total value of the conglomerate. What do you think could be the most promising transaction approaches? Why?